RESIDENTIAL LEAVE AND OCCUPANCY AGREEMENT

Agreement 02 — High deposit and long lock-in test case

TEST DATA NOTICE: This is a fictional synthetic agreement created solely for testing ClauseLens. It is not legal advice and must not be signed or used as a real contract.

PARTIES AND DATE

This Agreement is dated 15 October 2026 and is entered into by Vikram Rao, owner of Unit 604, Maple Crest, Baner Road, Pune, Maharashtra 411045 (“Owner”), and Nisha Menon, of 9 Orchid Lane, Pune, Maharashtra 411021 (“Occupant”). The parties and property details are fictional. The document is intended only as a software test fixture and is not a legal form.

1. GRANT AND USE

The Owner permits the Occupant to reside in Unit 604, Maple Crest, Baner Road, Pune, a furnished two-bedroom apartment with kitchen, two bathrooms, balcony, one covered parking space, and the furniture listed in Schedule A. The Premises may be used only for residential purposes. No business open to the public, short-stay hosting, or unlawful activity is permitted.

2. DURATION AND LOCK-IN

The term begins on 1 November 2026 and continues until 31 October 2028, for twenty-four months. The first eighteen months are a lock-in period binding on both parties. During the lock-in, the Occupant may not terminate for convenience and must pay rent for the unexpired lock-in period if leaving early. The Owner may also not terminate for convenience during the same period, except for a material breach or as permitted by applicable law. The Parties acknowledge that enforceability and the amount recoverable for early departure may depend on applicable law and the facts.

3. MONTHLY COMPENSATION

The monthly licence fee/rent is ■32,000, payable in advance by the third day of each month by electronic transfer. A payment is considered received when credited to the Owner’s nominated account. The Occupant shall send proof of payment if requested. If payment remains outstanding for more than seven days after written reminder, the Owner may issue a formal breach notice and pursue lawful remedies.

4. REFUNDABLE DEPOSIT

The Occupant shall pay a refundable, interest-free security deposit of ■1,92,000, equal to six months of the monthly fee, before receiving keys. The deposit secures unpaid fees, unpaid metered utilities, damage beyond normal wear and tear, and unreturned listed items. The deposit is not advance rent and cannot be applied to monthly fees without the Owner’s written consent.

5. RETURN OF DEPOSIT

Within thirty calendar days after vacant possession, return of keys, and settlement of known charges, the Owner shall provide a written account of deductions and refund the undisputed balance. The Owner may deduct documented costs of repairing damage caused by the Occupant or replacing missing inventory. No deduction may be made for ordinary wear and tear. If the Owner disputes an item, the Owner shall identify the item and estimated amount in writing rather than withholding the entire deposit without explanation.

6. NOTICE AND TERMINATION

After the eighteen-month lock-in expires, either Party may terminate by giving ninety days' written notice. The Owner may terminate earlier for material breach after written notice and an opportunity to cure where appropriate, subject to applicable law. The Occupant may request early release during the lock-in; the Owner may agree in writing to waive some or all remaining fees, but is not required by this Agreement to do so. This clause does not exclude any non-waivable statutory rights.

7. ANNUAL INCREASE

On each anniversary of the commencement date, the monthly fee increases by eight percent over the amount payable immediately before that anniversary. The first increase is scheduled for 1 November 2027, changing the monthly amount from ■32,000 to ■34,560. The next increase, if the Agreement remains in force, is calculated as eight percent of ■34,560.

8. MAINTENANCE

The Owner shall maintain structural elements, concealed water lines, and supplied appliances unless damage was caused by misuse. The Occupant shall keep the Premises clean, replace ordinary consumables, and pay for damage caused by negligence or misuse. The Occupant shall report defects promptly and allow reasonable access for repairs. Emergency repairs may be arranged where delay risks serious damage, with prompt notice to the Owner.

9. UTILITIES AND CHARGES

The Occupant shall pay electricity, gas, internet, and water consumption charges. The Owner shall pay property tax and owner-association charges. A monthly society service charge of ■2,500 is payable by the Occupant in addition to the monthly fee. Any change in this charge must be supported by the society's written notice or bill.

10. INSPECTION

The Owner or a nominated maintenance professional may enter after at least twenty-four hours' notice during reasonable daytime hours for inspection, repairs, or showing the Premises to prospective occupants during the final sixty days. No notice is required in a genuine emergency. The Owner shall make reasonable efforts to minimise disruption.

11. SUBLETTING AND GUESTS

The Occupant shall not sublet, assign, license, or advertise the Premises for short-term stays without prior written permission. Guests may stay temporarily, provided they comply with building rules and do not become permanent occupants without written approval. The Occupant is responsible for guests' conduct.

12. FURNITURE AND CONDITION

Schedule A lists a dining table with four chairs, one sofa, two beds, two wardrobes, a refrigerator, a washing machine, three air conditioners, and a water purifier. The Parties shall record pre-existing damage in a signed handover sheet. The Occupant shall not remove the Owner's items from the Premises without written consent.

13. RISK ALLOCATION

The Occupant shall promptly notify the Owner of water leakage, smoke, structural cracks, or other conditions likely to cause injury or property damage. Neither Party may exclude liability that cannot lawfully be excluded. The Owner is not responsible for loss of the Occupant's personal belongings except to the extent required by law or caused by the Owner's proven negligence.

14. DISPUTE RESOLUTION

The Parties shall attempt to resolve disagreements by written discussion within fifteen days after one Party gives notice of a dispute. If they cannot agree, either Party may pursue remedies before the competent forum for the location of the Premises. This Agreement is subject to applicable Indian law and local requirements.

15. SIGNATURES

The Parties confirm that they have reviewed this Agreement and understand that it contains a long lock-in period, a deposit equal to six months' fees, and a scheduled annual increase. They are encouraged to obtain independent advice before signing. Signed copies may be exchanged electronically if permitted by applicable law.

LANDLORD _____ **TENANT** _____

Signature lines are included only to make the layout realistic. This synthetic test document is not intended for execution.